

KAPCHORUA TEA COMPANY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2010

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KAPCHORUA TEA COMPANY LIMITED

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the Sixty First ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Tuesday 17 August 2010 at 10.00 a.m. for the following purposes.

1. To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2010.
2. To declare a dividend.
3. To elect Directors:
P Magor and Anthony S Marsh retire by rotation and being eligible offer themselves for re-election.
4. To approve the remuneration of the Directors.
5. To authorise the Directors to reappoint/appoint Auditors and agree their remuneration
6. To transact such other business as may be brought before the meeting.

BY ORDER OF THE BOARD



GILBERT K MASAKI
SECRETARY

24 June 2010

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her, and such proxy need not also be a member of the company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the company so as to arrive not later than Twenty Four hours before the meeting.

KAPCHORUA TEA COMPANY LIMITED

CORPORATE INFORMATION

DIRECTORS

N G Sandys-Lumsdaine* - Chairman
A.L. Carmichael*
P Magor*
J N Brooks
S C A Koech
A S Marsh*

* British

SECRETARY

Gilbert K Masaki
Certified Public Secretary (Kenya)
P O Box 42281- 00100
Nairobi

REGISTERED OFFICE

Williamson House, 1st Floor
4th Ngong Avenue
P O Box 42281 - 00100
Nairobi

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

BANKERS

Barclays Bank of Kenya Ltd
Barclays Plaza Business Centre
P O Box 46661 - 00100
Nairobi

Barclays Bank of Kenya Limited
Eldoret Branch
P O Box 22 - 030030
Eldoret

LAWYERS

Kaplan & Stratton
Williamson House, 9th Floor
4th Ngong Avenue
P O Box 40111 - 00100
Nairobi

Walker Kontos
Hakika House
Bishops Road
P O Box 60680 - 00200
Nairobi

KAPCHORUA TEA COMPANY LIMITED

FINANCIAL HIGHLIGHTS

		2010	2009	2008	2007	2006	2005
Tea Production							
Area under tea	Hectares	661	673	673	669	673	681
Made tea - own	'000 kgs	2,032	1,666	1,361	1,929	1,589	1,762
- bought leaf	'000 kgs	4,027	3,544	2,738	3,077	2,262	2,718
Total	'000 kgs	6,059	5,210	4,099	5,006	3,851	4,480
Tea sold	'000 kgs	5,821	4,871	4,551	4,432	4,128	4,680
Average sales price per kg (gross)	Sh	193.46	149.27	121.69	133.85	108.42	114.67
Turnover (Sh'000)		1,130,108	743,079	574,997	610,303	462,749	571,853
Profit/(loss) (Sh'000)							
Profit/(loss) before taxation		199,538	99,735	(103,081)	2,054	(13,372)	37,277
Taxation		(60,286)	(29,827)	33,303	(2,982)	3,579	(11,188)
Profit/(loss) after taxation		139,252	69,908	(69,778)	(928)	(9,793)	26,089
Capital Employed (Sh'000)							
Property, plant and equipment		263,066	280,831	293,397	305,858	234,930	242,732
Prepaid operating leases		21,765	21,789	21,813	21,837	21,861	21,885
Intangible assets		665	1,330	-	-	-	-
Biological assets		533,957	515,489	457,670	523,092	546,798	544,748
Investments		717	717	717	717	717	698
Current assets		678,761	347,641	208,461	258,390	161,095	224,717
		1,498,931	1,167,797	982,058	1,109,894	965,401	1,034,780
Financed by (Sh'000)							
Share capital		19,560	19,560	19,560	19,560	19,560	19,560
Reserves		799,172	669,700	601,748	691,086	635,151	664,504
Shareholders' funds		818,732	689,260	621,308	710,646	654,711	684,064
Medium term borrowings		4,054	8,602	10,227	5,240	97	7,310
Non current liabilities		60,755	65,581	54,807	53,849	47,751	44,500
Deferred income taxes		201,773	197,737	178,131	211,434	191,524	195,103
Current liabilities		1,085,314	961,180	864,473	981,169	894,083	930,977
		413,617	206,617	117,585	128,725	71,318	103,803
		1,498,931	1,167,797	982,058	1,109,894	965,401	1,034,780
EARNINGS/(LOSS) PER SHARE	Sh	35.60	17.87	(17.84)	(0.24)	(2.50)	6.67
DIVIDENDS PER SHARE (par value)	%	100	100	10	100	10	100
DIVIDENDS PER SHARE	Sh	6.25	2.50	0.50	5.00	0.50	5.00
DIVIDEND COVER	Times	5.70	7.15	-	-	-	1.33
Closing exchange rates	US \$	77.30	80.45	62.80	68.74	71.90	75.00
	UK £	116.58	115.12	125.21	134.99	125.40	141.00

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT

Results

I am pleased to report that the company recorded a profit of KShs 127.1 million resulting from its operating activities.

The year under review saw very favourable weather conditions. This was further assisted by strengthening relationships with local green leaf farmers and communities resulting to the positive results compared to last year. Our mention last year of the apparent marginal shift in world tea's supply and demand equation has proved to be prescient and strong global demand for much of the year has culminated in the results you see before you. Markets are now sliding and we anticipate that the in forthcoming year we will have many challenges to be faced. One very good year of high crops and high prices is most unlikely to be followed directly by another year of the same. Either climatic conditions or market forces change. We are a farming concern and therefore face the challenges of a business that is subject to increasingly erratic rainfall patterns.

We have serviced our customers well with many large buyers commending us for our quality and service. This strong performance plus the investment in Rainforest Alliance and Fairtrade accreditation increases demand for our teas. In January of this year we won the Africa tea producer award from Sainsbury Supermarket in the United Kingdom. This is a highly prestigious award, won as a result of being Sainsbury's largest tea supplier.

We are continuing to invest in plant and machinery, both in our factories and in the field. Considerable work has gone into managing our automated tea harvesting. Our workforce has been trained and we have significantly improved the quality of leaf harvested to the mutual benefit of ourselves and our customers. Automating green leaf harvesting enables us to increase our productivity, save some costs and comply with the technology and industrialization targets and aspirations set out by the government in Vision 2030. In understanding this advantage our outgrower farmers have expressed a desire to modernize and automate their own leaf harvesting. The larger land owners amongst them have already commenced automation, with others keen to establish groups and cooperatives in order to optimize their returns per acre.

'At the time of writing we have still to conclude a Collective Bargaining Agreement with our Union partners. The Industry, and your company, already pay wage rates that are more than double those set out in the Employment Act. When welfare benefits are added to these wage rates the resultant costs place Kenya at risk of becoming uncompetitive in the global market with an average cost some two times that in North India, and more than three times those that exist in Malawi.

The cost of our essential inputs, particularly electricity, fertilizers and labour costs have again risen. To remain competitive we therefore need to work hard to control our costs whilst maintaining the quality of tea and service efficiency that provide the results we all wish to see.

The cost of conducting business in Kenya is increasing exponentially as new and more complicated demands and licences are forced upon us. The Fairtrade mark is a universal sign that welfare, environmental and professional practices are being conducted to meet world standards. The Fairtrade accreditation might therefore exclude the necessity and cost of duplication associated with inferior standards already covered under the Fairtrade audit. In addition to Corporation tax we face NEMA, WRMA, KEBS, this is in effect double taxation. Council taxes have increased with no accountability to the services that are provided. Amendments to the Tea Act are proposed and we should remind those that seek change that on the 28th May 2010 the Daily Nation Leader article wrote "Safaricom have made us aware that attempts at political meddling in any business enterprise are bound to be counter productive." We continue in our efforts to engage with the government in order for our concerns to be properly expressed.

(Situation may change)

At the time of writing we await the results of the referendum on the draft constitution. We should advise that in the event of a "yes" vote the presence of one or more shareholder who is not a citizen renders existing freehold titles and 999 year leases being withdrawn by the government and replaced by 99 year leases. No provision has yet been made for lease renewals and no facility for compensation in the event of a possible drop in asset value.

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT (Continued)

Dividends

In view of the favourable results, the Directors are recommending a first and final Dividend payment of KShs 6.25 per share or 125% Dividend.

Crop

During the year, the company manufactured a total of 6.1 million kilos of Made Tea compared to 5.2 million kilos manufactured last year due to continued strong support from our small tea growers.

Tea Market

The gross average tea price increased to KShs 190.46 per kilo from last year's gross average of KShs 149.27. This was mainly due to the decreased supply of Tea from other tea growing countries and a weaker Kenya Shilling. The exchange rate closed at KShs 77.30 to the Dollar compared to last year's closing rate of KShs 80.45.

Corporate Social Responsibility

The company continues to embrace Social enhancing ethics, food safety standards and sustainable agricultural practices. The company is still certified by Fair Trade, ISO 2200:2005 and Rainforest Alliance.

Various outgrower cooperatives have shown interest in being accredited to Fairtrade. This will serve to further benefit the local communities that surround our Farms. Our investment in Fairtrade has already provided schools, school equipment, skills, bursaries, improved medical facilities, solar lighting and micro financing all of which has a direct benefit to the Farm workers and local communities. Our ability to continue to sell into fair-trade outlets has released over KShs 40 million to workers and communities.

We continue to plan for the future and to investigate renewable energy sources and ways to reduce our own carbon footprint. The carbon industry is still in its infancy. We continue to investigate ways of how best to advantage the company. We will assess our existing footprint before exploring methods of reducing this and establishing sustainable innovations that will benefit the environment and the Company.

Health and Education

The company continues to provide extensive medical services to the employees with a Health Clinic and actively participates in the Nandi Hills Doctors' scheme including visiting Doctor Services and HIV/AIDS prevention programmes. Contribution has also been given in the form of equipments to neighbouring Hospitals which treat some of our Workers and the surrounding Communities.

Through the Kenya Tea Growers Association, the company continues to support the running and development of various sponsored Primary and Secondary Schools in Nandi. We continue to operate a Primary School together with bursary schemes for gifted students proceeding to Secondary education.

Welfare

The number of permanent and seasonal employees exceeded 1,259 with over 5,036 of their dependents who also benefit from the social and welfare amenities provided.

During the year, the company spent over KShs 18 million on employees' pension, gratuities, leave and medical expenses over and above employees' direct wages. In addition, the company incurred in excess of KShs 2 million on capital projects relating to employees welfare.

Future prospects

The Kenya Shilling has continued to be weak in the first quarter of the coming financial period exchanging at an average of KShs 79 to the Dollar. However, the tea selling prices have started declining due to the current market forces of supply and demand. Subject to the results of the referendum, unpredictable weather conditions and the factors of supply and demand, we anticipate to have a challenging year ahead in comparison to a record performance in the current financial period.

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT (Continued)

Appreciation

Finally, I would like to thank all our management staff under the leadership of John Kosgei for their efforts during the year. My thanks also go to the Nairobi team for their continued support.

Finally, I would like to thank my fellow Directors for their valuable contribution and advice.

NIGEL SANDYS-LUMSDAINE

CHAIRMAN

Thursday, June 24, 2010

KAPCHORUA TEA COMPANY LIMITED

CORPORATE GOVERNANCE

Corporate Governance is the process and structure used to direct and manage business affairs of the company towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long term value while taking into account the interest of other stakeholders.

The company is committed to business integrity and professionalism in all its activities. As part of this commitment the Board fully supports issues articulated by the Capital Markets Authority so as to bring the level of governance in line with International trends.

We confirm that we are governed by the rules and regulations as issued by both the Nairobi Stock Exchange (NSE) and the Capital Markets Authority (CMA).

BOARD OF DIRECTORS

The Board comprises seven directors, of which six are non-executive directors including the Chairman. The role of the Chairman and the Managing Director has been separated and the composition of the Board is compliant with good corporate governance practices. The appointment, resignation and re-election of the board is conducted in accordance with the company's Articles of Association.

The Board is responsible for formulating policies and strategies and ensuring that the business objectives, aimed at promoting and protecting the shareholder value are achieved. The Board ensures that procedures and practices are set in place to ensure effective control over strategic, financial, operational and compliance issues. The annual budgets, half year and annual accounts are also reviewed by the board to monitor operational performance. The Directors are given appropriate and timely information to enable them maintain full and effective control. Except for direction and guidance on general policy, the Board has delegated authority for conduct of the day-to-day business to the Chief Executive assisted by a Team of able Managerial Staff.

The full Board meets at least once every quarter for scheduled meetings and on other occasions as required for to consider exceptional matters. A timetable of calendar dates for Board meetings to be held during the year is circulated in advance to the Board. The notice of Board meetings is distributed together with the agenda and board papers to all the Directors before hand.

The Company Secretary is always available to the Board of Directors.

Directors Emoluments and loans

The aggregate amount of emoluments paid to directors for services rendered during the financial year are disclosed in note 4 to the financial statements. There were no directors' loans at any time during the financial year. Neither at the end of the financial year, nor at any time during the year did there exist any arrangement to which the company is a party whereby directors might acquire benefits by means of the acquisition of shares in the company.

INTERNAL CONTROLS

The Board is responsible for the company's system of internal controls and for reviewing their effectiveness. The company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the company complies with all Kenyan Laws and Regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally revalued on a regular basis.

The company's internal auditor reviews policy, systems and procedures on a regular basis and reports to the Managing Director.

COMMUNICATION WITH SHAREHOLDERS

The company places a great deal of importance on communication with its shareholders and publishes in the local dailies its financial statements on half year and annual basis. The full report and accounts are distributed to all shareholders on an annual basis.

KAPCHORUA TEA COMPANY LIMITED

CORPORATE GOVERNANCE (Continued)

MAJOR SHAREHOLDERS

The company files a quarterly report with CMA and NSE on the top 10 major shareholders. Also, investor returns are submitted on a monthly basis.

As at 31 March 2010, the top 10 shareholders were as follows:

	Name	Location	No of shares	%
1.	Williamson Tea Kenya Limited	Nairobi	1,547,780	39.56
2.	Ngong Tea Holdings Limited	London	937,264	23.96
3.	Shawmut Limited	Nairobi	489,000	12.50
4.	Mulchand Narshi Shah	Nairobi	108,064	2.76
5.	Satchu Aly-Khan	Mombasa	63,600	1.63
6.	Eric Charles Simons	London	60,000	1.53
7.	Apex Africa Investment Bank Ltd A/c 1	Nairobi	54,500	1.39
8.	Kirtesh Premchand Shah	Nairobi	38,680	0.99
9.	Mr. Ronal Carlile Buxton	London	33,750	0.86
10.	Barclays (Kenya) Nominees Ltd A/c 9451	Nairobi	23,600	0.60

ANALYSIS OF SHAREHOLDERS

By region:

	Number	Shares held	%
Foreign investors	15	1,082,314	27.67
Local investors (Individuals)	212	645,246	16.49
Local investors (Institutional)	32	2,184,440	55.84
	<u>259</u>	<u>3,912,000</u>	<u>100.00</u>

By shares distribution:

Less than 501	104	24,487	0.62
501-5,000	120	258,489	6.60
5,001- 100,000	31	546,916	13.98
above 100,000	4	3,082,108	78.80
	<u>259</u>	<u>3,912,000</u>	<u>100.00</u>

KAPCHORUA TEA COMPANY LIMITED

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements for the year ended 31 March 2010.

ACTIVITIES

The principal activities of the company are the cultivation, manufacture and sale of tea.

RESULTS FOR THE YEAR

	Sh'000
Profit before taxation	199,538
Taxation charge	(60,286)
Profit for the year transferred to revenue reserve	<u>139,252</u>

DIVIDENDS

The directors recommend the payment of a first and final dividend of Sh 6.25 per share (2009 – Sh 2.50), totalling Sh 24,450,000 (2009 – Sh 9,780,000) in respect of the year.

TEA CROP

The following are comparative tea production statistics:

Year ended 31 March	Kapchorua estate Kgs'000	Bought leaf Kgs'000	Total Kgs'000
2010	2,032	4,027	6,059
2009	1,666	3,544	5,210
2008	1,361	2,738	4,099
2007	1,929	3,077	5,006
2006	1,589	2,262	3,851
2005	1,762	2,718	4,480
2004	1,648	1,888	3,536
2003	1,765	1,641	3,406
2002	1,789	1,676	3,465

The estimated tea production for the year to 31 March 2011 is 4,693,690 kilograms. This includes 2,867,715 kilograms from out growers.

PLANTED AREA

The planted area under tea was as follows:

	As at 31 March 2010 Hectares	As at 31 March 2009 Hectares
Mature	661.00	665.25
Immature	4.50	8.00
	<u>665.50</u>	<u>673.25</u>

KAPCHORUA TEA COMPANY LIMITED

REPORT OF THE DIRECTORS (Continued)

DIRECTORS

The current board of directors is shown on page 3.

Messrs P Magor and Anthony S Marsh retire by rotation in accordance with section 94 of the company's Articles of Association and, being eligible, offer themselves for re-election.

SECRETARY

Gilbert K Masaki continues as the Company Secretary.

MANAGEMENT

Mr J. Kosgei is the General Manager of the Kapchorua Estate.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Companies Act.

BY ORDER OF THE BOARD



Secretary

Nairobi

24 June 2010

KAPCHORUA TEA COMPANY LIMITED

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



Director



Director

24 June 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF KAPCHORUA TEA COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Kapchorua Tea Company Limited, set out on pages 15 to 44 which comprise the statement of financial position as at 31 March 2010, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

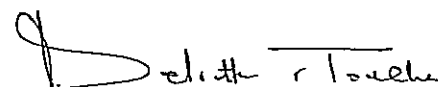
In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 31 March 2010 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF KAPCHORUA TEA COMPANY LIMITED (Continued)

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- (ii) in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.



Certified Public Accountants (Kenya)

24 June 2010

Nairobi

KAPCHORUA TEA COMPANY LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2010

	Note	2010 Sh'000	2009 Sh'000
TURNOVER	3(a)	1,130,108	743,079
GAIN ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS - TEA BUSHES & TIMBER	14	8,675	32,922
OPERATING INCOME		1,138,783	776,001
COST OF SALES		(877,645)	(643,053)
GROSS PROFIT		261,138	132,948
OTHER INCOME		20,040	8,845
CHANGES ARISING FROM CHANGES IN FAIR VALUE OF OTHER BIOLOGICAL ASSETS - FIREWOOD	14	8,745	27,927
DISTRIBUTION COSTS		(80,141)	(62,312)
ADMINISTRATIVE EXPENSES		(2,671)	(2,432)
NET (LOSS) /GAIN ON FOREIGN EXCHANGE		(6,053)	16
FINANCE INCOME	6(a)	373	-
FINANCE COSTS	6(b)	(1,893)	(5,257)
PROFIT BEFORE TAXATION	4	199,538	99,735
TAXATION CHARGE	7	(60,286)	(29,827)
PROFIT FOR THE YEAR		139,252	69,908
COMPRISING:			
PROFIT ARISING FROM OPERATING ACTIVITIES		127,058	27,314
GAIN ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS (NET OF ATTRIBUTABLE TAXATION)		12,194	42,594
OTHER COMPREHENSIVE		139,252	69,908
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		139,252	69,908
EARNINGS PER SHARE-basic and diluted (Sh)	8	35.60	17.87

KAPCHORUA TEA COMPANY LIMITED

STATEMENT OF FINANCIAL POSITION
31 MARCH 2010

	Note	2010 Sh'000	2009 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	10	263,066	280,831
Prepaid operating leases	11	21,765	21,789
Intangible assets	12	665	1,330
Unquoted investments – available for sale	13	717	717
Biological assets	14	533,957	515,489
		820,170	820,156
Current assets			
Inventories	15	192,842	117,774
Trade and other receivables	16	387,771	139,227
Due from related companies	17	3,592	5,016
Fixed deposits	18	50,317	-
Cash and bank balances		44,239	85,624
		678,761	347,641
Total assets		1,498,931	1,167,797
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	19	19,560	19,560
Revaluation surplus		90,933	98,596
Revenue reserves		708,239	571,104
		818,732	689,260
Shareholders' funds		818,732	689,260
Non current liabilities			
Deferred income taxes	20	201,773	197,737
Provision for employee entitlements	21	60,755	65,581
Borrowings	22	1,075	1,698
Finance lease obligations	23	2,979	6,950
		266,582	271,966
Current liabilities			
Borrowings	22	860	27,013
Finance lease obligations	23	4,469	4,565
Trade and other payables	24	342,867	167,672
Due to related companies	17	19,992	6,690
Unclaimed dividends	9(b)	493	420
Tax payable	7(c)	44,936	211
		413,617	206,571
Total equity and liabilities		1,498,931	1,167,797

The financial statements on pages 15 to 44 were approved by the board of directors on 24 June 2010 and were signed on its behalf by:

[Signature] } Directors
[Signature] }

KAPCHORUA TEA COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2010

	Share capital Sh'000	Revaluation surplus Sh'000	Biological assets Sh'000	Other Sh'000	Total Sh'000
At 1 April 2008	19,560	107,170	215,985	278,593	621,308
Total comprehensive income for the year	-	-	42,594	27,314	69,908
Excess depreciation transfer	-	(12,248)	-	12,248	-
Deferred tax on excess depreciation	-	3,674	-	(3,674)	-
Dividend declared - 2009	-	-	-	(1,956)	(1,956)
At 31 March 2009	19,560	98,596	258,579	312,525	689,260
At 1 April 2009	19,560	98,596	258,579	312,525	689,260
Total comprehensive income for the year	-	-	12,194	127,058	139,252
Excess depreciation transfer	-	(10,947)	-	10,947	-
Deferred tax on excess depreciation	-	3,284	-	(3,284)	-
Dividend declared - 2009	-	-	-	(9,780)	(9,780)
At 31 March 2010	19,560	90,933	270,773	437,466	818,732

The revaluation surplus arose on revaluation of property, plant and equipment and is not distributable.
The revenue reserve on biological assets represents surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture.
Other revenue reserves represent accumulated profits arising from normal operating activities.

KAPCHORUA TEA COMPANY LIMITED

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2010

	Note	2010 Sh'000	2009 Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	25(a)	74,703	72,168
Interest paid		(1,893)	(5,257)
Interest received		373	-
Taxation paid	7(c)	(11,525)	(10)
Net cash generated from operating activities		61,658	66,901
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	10	(14,229)	(14,351)
Purchase of intangible assets - computer software	12	-	(1,995)
Proceeds from disposal of property, plant and equipment		3,040	-
Dividends received		-	1,915
Net (expenditure)/harvest on biological assets	14	(1,048)	3,030
Net cash used in investing activities		(12,237)	(11,401)
CASH FLOWS FROM FINANCING ACTIVITIES			
Loans repaid	25(b)	(24,180)	(18,103)
Loans received	25(b)	-	39,895
Movement of finance lease obligations	25(c)	(4,067)	70
Dividends paid	9(b)	(9,707)	(1,956)
Net cash (used in)/generated from financing activities		(37,954)	19,906
INCREASE IN CASH AND CASH EQUIVALENTS		11,467	75,406
CASH AND CASH EQUIVALENTS AT START OF YEAR		83,089	7,683
CASH AND CASH EQUIVALENTS AT 31 MARCH	25(d)	94,556	83,089

KAPCHORUA TEA COMPANY LIMITED
 NOTES TO THE FINANCIAL STATEMENTS
 FOR THE YEAR ENDED 31 MARCH 2010

1 ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan companies Act reporting purposes, in these financial statements the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRICs)

(i) Standards and Interpretations affecting amounts reported in the current period (and for prior periods)

Only IAS 1 (revised) and IFRS 8 have affected disclosures reported in these financial statements.

• **IFRS 8 'Operating segments' – effective 1 January 2009.**

IFRS 8, 'Operating segments', replaces IAS 14, 'Segment reporting'. The new standard requires a 'management approach', under which segment information is presented on the same basis as that used for internal reporting purposes. The segments will be reported in a manner that is consistent with the internal reporting provided to the chief operating decision-maker.

• **IAS 1 (revised) 'Presentation of financial statements' – effective 1 January 2009.**

A revised version of IAS 1 was issued in September 2007. It prohibits the presentation of items of income and expenses (that is, 'non-owner changes in equity') in the statement of changes in equity, requiring 'non-owner changes in equity' to be presented separately from owner changes in equity in a statement of comprehensive income. As a result, the company presents in the statement of changes in equity all owner changes in equity, whereas all non-owner changes in equity are presented in the statement of comprehensive income.

The company also elected to use the titles per revised IAS 1 of 'statement of financial position' and 'statement of cash flows' to describe the 'balance sheet' and cash flow statement respectively.

Adoption of these interpretations and standards has not led to any changes in the company's accounting policies.

(ii) New and revised standards and interpretations in issue not yet effective

IFRS 9, 'Financial Instruments part 1: Classification and measurement' – effective 1 January 2013.

IFRS 9 was issued in November 2009 and replaces those parts of IAS 39 relating to the classification and measurement of financial assets. Key features are as follows:

Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.

All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other equity investments, an irrevocable election can be made at initial recognition, to recognize unrealised and realised fair value gains and losses through other comprehensive income rather than profit or loss. There is to be no recycling of fair value gains and losses to profit or loss. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in profit or loss, as long as they represent a return on investment.

While adoption of IFRS 9 is mandatory from 1 January 2013, earlier adoption is permitted.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS
 FOR THE YEAR ENDED 31 MARCH 2010

1 ACCOUNTING POLICIES (Continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (Continued)

Impact of other standards and interpretations

The directors anticipate that the adoption of amendments to various IFRS resulting from the International Accounting Standards Board (IASB)'s annual improvements projects, when effective, will have no material impact on the financial statements of the company.

(iii) Early adoption of standards

The company did not early-adopt new or amended standards in 2010.

Basis of preparation

The company prepares its financial statements on the historical cost basis of accounting as modified to include the revaluation of certain assets.

Revenue recognition

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Dividends receivable are recognised as income in the period in which the right to receive payment is established.

Inventories

Made tea inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods comprises the fair value less estimated point-of-sale costs of agricultural produce at the point of harvest, raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but excludes borrowing costs. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution. Changes in that value are recognised in profit or loss in the period of the change.

Firewood is stated at the lower of production cost and net realizable value.

Consumable stores inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method.

Biological assets

The biological assets (tea bushes, timber plantations and fuel plantations) and agricultural produce are stated at fair value less estimated point-of-sale costs.

The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market. Changes in fair value of biological assets are recognised through profit or loss.

The cost of replanting, infilling and upkeep are recognised as an expense in the profit or loss.

Immature tea bushes and immature trees, where cost approximate fair value, are valued at cost.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2010

1 ACCOUNTING POLICIES (Continued)

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any accumulated impairment losses.

Professional valuations are carried out in accordance with the company's policy of revaluing certain property, plant and equipment.

Any revaluation increase arising on the revaluation of the building and machinery is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of the building is recognised in profit or loss to the extent that it exceeds the balance, if any, held in properties revaluation reserve relating to a previous revaluation of that asset.

The gain or loss arising on the disposal or retirement of property, plant and equipment is determined as the difference between sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation

Property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives.

The estimated useful lives, residual values and depreciation method are reviewed, at each year end, with effect of any changes in estimate accounted for on a prospective basis.

Capital work in progress is not depreciated until the asset is brought into use.

The annual rates generally in use are:

Buildings	5%
Dams	2.5%
Machinery and equipment	10%
Tractors & accessories	10% - 25%
Motor vehicles	25%
Office equipment, furniture and fittings	10%
Computers	25%

Depreciation on revalued building and machinery is recognised in profit or loss. On subsequent sale or retirement of a revalued property, the attributable revaluation surplus remaining in the properties revaluation reserve is transferred directly to accumulated surplus. No transfer is made from the revaluation reserve to accumulated surplus except when the asset is derecognised.

Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged through profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 3 years.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged through profit or loss on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the company at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Taxation

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

The principal temporary differences arise from depreciation of property, plant and equipment, revaluations of certain non-current assets and provisions for service gratuity and other terminal dues.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax losses and unused tax credits can be utilised.

Retirement benefit obligations

The company participates in a defined contribution scheme for eligible non-unionisable employees operated by Williamson Tea Kenya Limited for its employees. The assets of the scheme are held in a separate trustee administered fund. The scheme is funded from contributions from both the company and employees. The company's contributions to the defined contribution plan are charged to the profit or loss in the year to which they relate.

The company also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Fund Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time, currently Sh 200 per employee per month. The company's contributions are charged to profit or loss in the year to which they relate.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of the reporting period.

Unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service with the company are entitled to twenty one days pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement with the company. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements based on the present value of benefits payable as they accrue to each employee.

Impairment of tangible and intangible assets excluding goodwill

At the end of each reporting period, the company reviews the carrying amounts of its financial assets, tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognized in the profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Foreign currencies

Monetary assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the end of the reporting period. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with through profit or loss.

Financial instruments

A financial asset or liability is recognised when the company becomes party to the contractual provisions of the instrument.

Financial assets**Classification**

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

(i) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

(iii) Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity where the company has the positive intent and ability to hold to maturity other than loans and receivables originated by the company are measured at amortised cost.

(iv) Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity are classified as available-for-sale.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)**Financial assets (Continued)****Recognition and measurement**

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investments revaluation reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. Dividends on available-for-sale equity instruments are recognised in profit or loss the company's right to receive the dividend is established.

Impairment and uncollectability of financial assets

At the end of each reporting period, all financial assets are subject to review for impairment.

If it is probable that the company will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount either directly or through use of an allowance account. The amount of the loss incurred is included in the profit or loss for the year.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised in other comprehensive income is removed from equity and recognised in the profit or loss for the period even though the financial asset has not been derecognised.

Financial liabilities

After initial recognition, all financial liabilities other than liabilities held for trading are measured at amortised cost. Liabilities held for trading (financial liabilities acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin) are subsequently measured at their fair values.

(i) Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the of the instrument to the extent that they are not settled in the period they arise.

(ii) Trade payables

Trade payables are carried at cost which is measured at the fair or contracted value of the consideration to be paid in future in respect of goods and services supplied by the suppliers, whether billed or not, to the company.

Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held with banks net of bank overdrafts.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 CRITICAL JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

(i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling an insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry in the fair value reserve in shareholders' equity.

(ii) Key sources of estimation uncertainty

Biological assets

In determining the fair value of biological assets, the company uses the present value of expected cash flows from the asset discounted at the current market determined pre tax rate. The objective of a calculation of the present value of expected net cash flows is to determine the fair value of a biological asset in its present location and condition. The company considers this in determining an appropriate discount rate to be used and in estimating expected net cash flows. Management uses estimates based on historical data relating to yields, prices of made tea and exchange rates. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between estimates and actual experience

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

3 SEGMENTAL REPORTING

a) Adoption of IFRS 8 Operating segments

The company has adopted IFRS 8 *Operating Segments* with effect from 1 January 2009. IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the company that are regularly reviewed by the Chief Operating Decision Maker (CODM) in order to allocate resources to the segments and to assess performance. In contrast, the predecessor standard (IAS 14 *Segmental Reporting*) required an entity to identify two sets of segments (business and geographical), using a risks and returns approach, with the entity's 'system of internal financial reporting to key management personnel' serving only as the starting point for the identification of such segments. Following the adoption of IFRS 8, the identification of the company's reportable segments has not changed.

b) Products from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Board of Directors) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activity of the company. The principal activity of the company is the cultivation, manufacture and sale of tea. Other revenue is derived from sale of timber

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 SEGMENTAL REPORTING (Continued)

c) Geographical information

The following table details the company's revenues and non-current assets by geographical location. These have been aggregated on the basis of the country in which the sales are made.

Country	Revenue		Non-current assets	
	2010 Sh'000	2009 Sh'000	2010 Sh'000	2009 Sh'000
Off-shore markets	1,084,861	666,904	-	-
Kenya*	45,247	76,175	819,453	819,439
	<u>1,130,108</u>	<u>743,079</u>	<u>819,453</u>	<u>819,439</u>

Revenue reported above represents revenue generated from external customers.

There were no revenues deriving from transactions with a single external customer that amount to 10% or more of the company's revenue.

The above revenues reconcile to the statement of comprehensive income as follows:-

	2010 Sh'000	2009 Sh'000
Tea sales	1,124,927	725,590
Timber sales	5,181	17,489
	<u>1,130,108</u>	<u>743,079</u>

The above non current assets reconcile to the statement of financial position as follows:

	2010 Sh'000	2009 Sh'000
Property, plant and equipment	263,066	280,831
Prepaid operating leases	21,765	21,789
Intangible assets	665	1,330
Biological assets	533,957	515,489
	<u>819,453</u>	<u>819,439</u>

All the assets of the company are located in Kenya.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
4 PROFIT BEFORE TAXATION		
The profit before taxation is arrived at after charging/(crediting)		
Depreciation of property, plant and equipment (note 10)	27,811	26,917
Amortisation of intangible assets (note 12)	665	665
Leasehold land amortisation (note 11)	24	24
Directors' emoluments: - fees	250	250
- other emoluments	106	106
Staff costs (note 5)	157,479	157,258
Auditors' remuneration	1,103	985
Fair value of agricultural produce harvested during the year	185,911	41,535
Gain on disposal of plant and equipment	(3,040)	-
Impairment losses on plant and equipment	4,183	-
	<u>157,479</u>	<u>157,258</u>
5 STAFF COSTS		
Wages and salaries	138,539	126,180
Social security costs (NSSF)	2,939	3,219
Pension costs (defined contribution plan)	984	392
Service gratuity and other terminal benefits	5,482	16,804
Medical	2,485	3,936
Leave pay	7,050	6,727
	<u>157,479</u>	<u>157,258</u>
6(a) FINANCE INCOME		
Interest receivable	373	-
	<u>373</u>	<u>-</u>
6(b) FINANCE COSTS		
Interest on bank overdrafts	514	1,716
Interest on loans	1,379	3,541
	<u>1,893</u>	<u>5,257</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
7 TAXATION		
(a) Tax charge		
Current taxation based on the adjusted profit at 30%	56,250	10,221
Deferred taxation (note 20)		
Charge	4,196	19,606
Prior year overprovision	(160)	-
	<u>4,036</u>	<u>19,606</u>
	<u>60,286</u>	<u>29,827</u>
(b) Reconciliation of expected tax based on accounting profit to tax charge		
Accounting profit before taxation	199,538	99,735
Tax at the applicable rate of 30%	59,861	29,921
Tax effect of expenses not deductible for tax purposes	588	480
Tax effect of income not taxable	(3)	(574)
Prior year overprovision	(160)	-
	<u>60,286</u>	<u>29,827</u>
(c) Tax movement		
At start of year	211	(10,000)
Taxation paid	(11,525)	(10)
Profit or loss charge - current taxation	56,250	10,221
	<u>44,936</u>	<u>211</u>
8 EARNINGS PER SHARE		
Earnings per share is calculated by dividing the profit attributable to shareholders with the weighted average number of ordinary shares in issue during the year.		
	2010	2009
Earnings		
Profit for purposes of basic and diluted earnings per share (Sh'000)	139,252	69,908
Number of shares		
Number of ordinary shares (thousands)	3,912	3,912
Earnings per share		
Basic and diluted (Sh)	35.60	17.87

There were no potentially dilutive shares outstanding at 31 March 2010 or 31 March 2009.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9 DIVIDENDS

(a) Proposed dividends

In respect of the current year, the directors propose that a dividend of Sh 6.25 per share (2009 – Sh 2.50 per share) amounting to a total of Sh 24,450,000 (2009 – Sh 9,780,000) will be paid to shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting to be held on 3 August 2010 and has not been included as a liability in these financial statements.

The dividends payable are subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

(b) The movement in the dividends payable account is as follows:

	2010 Sh'000	2009 Sh'000
At 1 January	420	420
Final dividend declared	9,780	1,956
Dividends paid	(9,707)	(1,956)
At 31 December	493	420

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT

	Buildings Sh'000	Machinery & equipment Sh'000	Tractors & accessories Sh'000	Motor vehicles Sh'000	Office equipment furniture & fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
COST OR VALUATION								
At 1 April 2008	177,474	127,658	26,118	13,536	4,996	6,188	972	356,942
Additions	5,860	5,127	-	1,662	-	131	1,571	14,351
Reclassifications	175	-	-	-	-	-	(175)	-
At 31 March 2009	183,509	132,785	26,118	15,198	4,996	6,319	2,368	371,293
Comprising:								
At Valuation – 2007	177,219	120,353	-	-	-	-	-	297,572
At Cost	6,290	12,432	26,118	15,198	4,996	6,319	2,368	73,721
At 31 March 2010	183,509	132,785	26,118	15,198	4,996	6,319	2,368	371,293
At 1 April 2009	183,509	132,785	26,118	15,198	4,996	6,319	2,368	371,293
Additions	675	3,150	2,575	4,449	957	974	1,449	14,229
Disposals	-	-	(3,813)	(5,086)	-	-	-	(8,899)
Impairment losses	(6,066)	-	-	-	(4,849)	-	(3,817)	(10,915)
Reclassifications	2,073	1,744	-	-	-	-	-	-
At 31 March 2010	180,191	137,679	24,880	14,561	1,104	7,293	-	365,708
Comprising:								
At Valuation – 2007	177,219	120,353	-	-	-	-	-	297,572
At Cost	2,972	17,326	24,880	14,561	1,104	7,293	-	68,136
At 31 March 2010	180,191	137,679	24,880	14,561	1,104	7,293	-	365,708

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

	Buildings Sh'000	Machinery and equipment Sh'000	Tractors and accessories Sh'000	Motor vehicles Sh'000	Office equipment furniture and fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
DEPRECIATION								
At 1 April 2008	18,192	10,786	16,416	8,825	4,272	5,054	-	63,545
Charge for the year	11,875	9,636	2,784	1,968	144	510	-	26,917
At 31 March 2009	30,067	20,422	19,200	10,793	4,416	5,564	-	90,462
At 1 April 2009	30,067	20,422	19,200	10,793	4,416	5,564	-	90,462
Charge for the year	11,885	9,966	2,616	2,708	164	472	-	27,811
Disposals	-	-	(3,813)	(5,086)	-	-	-	(8,899)
Impairment losses	(2,253)	-	-	-	(4,479)	-	-	(6,732)
At 31 March 2010	39,699	30,388	18,003	8,415	101	6,036	-	102,642
NET BOOK VALUE								
At 31 March 2010	140,492	107,291	6,877	6,146	1,003	1,257	-	263,066
At 31 March 2009	153,442	112,363	6,918	4,405	580	755	2,368	280,831
NET BOOK VALUE (Cost basis)								
At 31 March 2010	49,505	68,374	6,877	6,146	1,003	1,257	-	133,162
At 31 March 2009	56,101	64,218	6,918	4,406	580	7,755	-	139,978

Included in property, plant and equipment are assets with an original cost of Sh 28,477,792 (2009- Sh 34,275,639) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 5,483,005 (2009 - Sh 6,715,535).

Buildings, machinery and equipment were revalued as at 31 March 2007 by Lloyd Masika Limited, registered valuers and estate agents on replacement cost basis. The net book value of tractors and accessories and motor vehicles includes Sh 3,955,685 (2009 - 7,102,842) in respect of vehicles that are under finance leases. These have been pledged to the bank as collateral for the asset financing facilities as disclosed under note 22.

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KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PREPAID OPERATING LEASES

	2010 Sh'000	2009 Sh'000
COST		
At 1 April	24,131	24,131

ACCUMULATED AMORTISATION

	2010	2009
At 1 April	2,342	2,318
Charge for the year	24	24

At 31 March 2010

2,366 2,342

NET BOOK VALUE

	2010	2009
At 31 March	21,765	21,789

The company has pledged all its leasehold land to secure bank borrowings granted to it as disclosed in note 22.

Leasehold land was last revalued as at 31 March 2007 by Lloyd Masika Ltd, registered valuers and estate agents, at Sh 57 million at that time, based on open market value.

12 INTANGIBLE ASSETS - COMPUTER SOFTWARE

	2010 Sh'000	2009 Sh'000
COST		
At 1 April	1,995	-
Additions	-	1,995

At 31 March

1,995 1,995

ACCUMULATED AMORTISATION

	2010	2009
At 1 April	665	-
Charge for the year	665	665

At 31 March

1,330 665

NET BOOK VALUE

	2010	2009
At 31 March	665	1,330

13 INVESTMENTS

Available for sale:

503,930 Shares (2009 - 503,930) shares of Sh 10 each in Kenya Tea Packers Limited

	2010	2009
	717	717

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

14 BIOLOGICAL ASSETS

	Tea bushes & nurseries Sh'000	Timber trees Sh'000	Fuel trees Sh'000	2010 Total Sh'000	2009 Total Sh'000
Carrying amount at 1 April 2009	248,347	197,665	69,477	515,489	457,670
Expenditure during the year	424	197	2,384	3,005	1,035
Decrease due to harvest	(849)	(60)	(1,048)	(1,957)	(4,065)
	<u>247,922</u>	<u>197,802</u>	<u>70,813</u>	<u>516,537</u>	<u>454,640</u>
Gains/(losses) arising from changes in fair value attributable to physical changes	928	(81,557)	8,745	(71,884)	6,842
Gains arising from changes in fair value attributable to price changes	89,304	-	-	89,304	54,007
	<u>90,232</u>	<u>(81,557)</u>	<u>8,745</u>	<u>17,420</u>	<u>60,849</u>
Net fair value gains					
Carrying amount at 31 March 2010	<u>338,154</u>	<u>116,245</u>	<u>79,558</u>	<u>533,957</u>	<u>515,489</u>

Significant assumptions made in determining the fair values of biological assets are:

- Tea bushes are considered to be productive for an estimated period of 30 years.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- A discount rate of 14.8% per annum is applied to discount the expected net cash flows arising from the asset.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of mature tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
15 INVENTORIES		
Tea stocks	158,880	81,428
Stores	28,637	28,433
Firewood	4,580	7,567
Timber	745	346
	<u>192,842</u>	<u>117,774</u>
16 TRADE AND OTHER RECEIVABLES		
Tea receivables	347,972	100,158
VAT recoverable	23,098	35,187
Staff receivables	5,034	2,375
Other	11,667	1,507
	<u>387,771</u>	<u>139,227</u>
17 RELATED COMPANIES		
Due from:		
Tinderet Tea Estates (1989) Limited	3,592	5,016
Due to:		
Williamson Tea Kenya Limited	14,173	5,943
Kaimosi Tea Estates Limited	5,694	643
Williamson Power Limited	125	104
	<u>19,992</u>	<u>6,690</u>
18 FIXED DEPOSITS		
Held to maturity:		
	2010 Sh'000	2009 Sh'000
Bank of Africa Limited	35,246	-
NIC Bank Limited	15,071	-
	<u>50,317</u>	<u>-</u>
Maturing within 90 days	<u>50,317</u>	<u>-</u>

The effective interest rate on fixed deposit at 31 March 2010 was 7.94% (2009: nil)

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
19 SHARE CAPITAL		
Authorised, issued and fully paid:		
3,912,000 ordinary shares of Sh 5 each	<u>19,560</u>	<u>19,560</u>
20 DEFERRED INCOME TAXES		
Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.		
	2010 Sh'000	2009 Sh'000
The net deferred income tax liability is attributable to the following items:		
Deferred tax liabilities:		
Accelerated capital allowances	66,496	66,402
Unrealised exchange gains	725	340
Revaluation surplus	38,971	42,255
Fair value adjustment – biological assets	<u>116,048</u>	<u>110,820</u>
	<u>222,240</u>	<u>219,817</u>
Deferred tax assets:		
Provision for employee entitlements	(18,226)	(19,674)
Leave pay provision	(1,108)	(898)
Unrealised foreign exchange losses	(645)	(754)
Stock provision	<u>(488)</u>	<u>(754)</u>
	<u>(20,467)</u>	<u>(22,080)</u>
	<u>201,773</u>	<u>197,737</u>
The movement on the deferred income tax account is as follows:		
At 1 April	197,737	178,131
Charge to profit or loss (note 7(a))	4,196	19,606
Prior year overprovision	<u>(160)</u>	<u>-</u>
At 31 March	<u>201,773</u>	<u>197,737</u>
21 PROVISION FOR EMPLOYEE ENTITLEMENTS		
At 1 April	65,581	54,807
Provision for the year	5,482	16,804
Payments made in the year	<u>(10,308)</u>	<u>(6,030)</u>
At 31 March	<u>60,755</u>	<u>65,581</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000	
22 BORROWINGS			
Loan from Williamson Tea Holdings Limited	1,935	2,842	
Bank overdraft: Barclays Bank of Kenya Limited	-	2,535	
Loan from Williamson Tea Kenya Limited	-	23,334	
	<u>1,935</u>	<u>28,711</u>	
The borrowings are repayable as follows:			
Within one year	860	27,013	
After one year	1,075	1,698	
	<u>1,935</u>	<u>28,711</u>	
Analysis of borrowings by currency			
	Borrowings in UK£ Sh'000	Borrowings in KES Sh'000	TOTAL Sh'000
2010			
Loans from related companies	<u>1,935</u>	<u>-</u>	<u>1,935</u>
2009			
Loans from related companies	<u>2,842</u>	<u>25,869</u>	<u>28,711</u>
The effective interest rates on borrowings were as follows:			
	2010 %	2009 %	
Loan from related companies			
Williamson Tea Kenya Limited – KES	-	6.50	
Williamson Tea Holdings Limited - UK £	BOE +1.50	BOE +1.50	
Bank overdraft - Ksh	<u>15%</u>	<u>13.75</u>	
Borrowing facilities			
The loan from Williamson Tea Holdings Limited is unsecured and is repayable over a period of 3 years.			
The company has undrawn committed borrowing facilities amounting to Sh 53,948,000 (2009 – Sh 50,697,000). The borrowing facilities consist of cash, letters of credit and guarantees, overdrafts and asset finance.			
Details of securities for borrowings:			
(i)	Fixed and floating debenture charge over all the company assets to Barclays Bank of Kenya Limited stamped and registered to cover Sh 62,282,000.		
(ii)	First legal charge over security property IR 21761 LR No. 11770 in the name of Kapchorua Tea Company Limited registered and stamped to cover Sh 62,282,000 supplemental to the debenture.		

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

23 FINANCE LEASE OBLIGATIONS

	Minimum lease payments (including finance charges)		Present value of minimum lease payments (excluding finance charges)	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Within one year	4,849	4,937	4,469	4,565
In second year	3,232	4,494	2,979	4,142
In the third to fifth year inclusive	-	3,046	-	2,808
	<u>8,081</u>	<u>12,477</u>	<u>7,448</u>	<u>11,515</u>
Less: Future finance charges	(633)	(962)	-	-
Present value of lease obligations	<u>7,448</u>	<u>11,515</u>	<u>7,448</u>	<u>11,515</u>
Amounts due for settlement within one year			<u>(4,469)</u>	<u>(4,565)</u>
Amounts due for settlement after one year			<u>2,979</u>	<u>6,950</u>

The average lease period is 3 years. The average interest rate paid during the year was 8.50 % (2009 – 8.50%).

The finance leases are secured by motor vehicles which are the subject of the finance leases.

	2010 Sh'000	2009 Sh'000
24 TRADE AND OTHER PAYABLES		
Trade payables	51,300	37,012
Accruals	18,450	5,043
Other payables	22,628	32,121
Green leaf accruals	246,797	90,502
Leave pay provision	3,692	2,994
	<u>342,867</u>	<u>167,672</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
25 NOTES TO THE CASH FLOW STATEMENT		
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	199,538	99,735
Adjustments for:		
Depreciation of property and equipment	27,811	26,917
Amortisation of intangible assets	665	665
Leasehold land amortisation	24	24
Profit on disposal of plant and equipment	(3,040)	-
Impairment losses on plant and equipment	4,183	-
Foreign exchange differences	(61)	(311)
Fair value adjustments- biological assets	(17,420)	(60,849)
Interest paid	1,893	5,257
Interest received	(373)	-
Dividend received	-	(1,915)
Operating profit before working capital changes	<u>213,220</u>	<u>69,523</u>
Increase in inventories	(75,068)	(66,403)
Increase in trade and other receivables	(248,544)	(7,272)
Increase in trade and other payables	175,195	110,405
(Decrease)/increase in provision for employee entitlements	(4,826)	10,774
Movement in related company balances	14,726	(44,859)
Cash generated from operations	<u>74,703</u>	<u>72,168</u>
(b) Analysis of changes in loans		
At 1 April 2009	26,176	4,695
Loans repaid	(24,180)	(18,103)
Loan received	-	39,895
Exchange difference	(61)	(311)
At 31 March 2010	<u>1,935</u>	<u>26,176</u>
(c) Analysis of movement in finance lease obligations		
At 1 April 2009	11,515	11,445
Amounts (repaid)/received	(4,067)	70
At 31 March 2010	<u>7,448</u>	<u>11,515</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh'000	2009 Sh'000
25 NOTES TO THE CASH FLOW STATEMENT (Continued)		
(d) ANALYSIS OF BALANCES OF CASH AND CASH EQUIVALENTS		
Cash and bank balances	44,239	85,624
Bank overdraft	-	(2,535)
Fixed deposits (note 18)	50,317	-
	<u>94,556</u>	<u>83,089</u>

For the purpose of the cash flow statement, cash and cash equivalents comprise balances that are convertible to known amounts of cash and which are within three months to maturity from the date of acquisition; less advances from banks repayable within three months from date of the advance.

26 RELATED PARTY TRANSACTIONS

The company transacts with other companies related to it by virtue of common shareholding. Amounts not settled as at the end of the reporting period are disclosed in note 17.

	2010 Sh'000	2009 Sh'000
Sales of goods/services:		
Sales through a related party – Williamson Tea Holdings Limited	<u>1,084,861</u>	<u>666,904</u>
During the year the following transactions were entered into with related parties		
Purchase of goods/services:		
Agency charges – Williamson Tea Kenya Limited	43,700	27,784
Agency fees-Cohen & Griffiths Ltd	32,546	20,007
Service of generators – Williamson Power Limited	411	1,416
Green leaf purchases from Kaimosi Tea Estate Limited	-	-
Green leaf sales to Kaimosi Tea Estates Limited	3,109	17,946
Green leaf sales to Tinderet Tea Estates (1989) Limited	<u>7,785</u>	<u>3,682</u>

Compensation of key management personnel

The remuneration of directors and other members of key management during the period was as follows:

Directors emoluments

Salaries and benefits	-	-
Fees and allowances for services as directors	356	356
	<u>356</u>	<u>356</u>

Key management remuneration

Salaries and other benefits	<u>10,245</u>	<u>7,474</u>
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KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2010 Sh000	2009 Sh000
27 CONTINGENT LIABILITIES		
Kenya Power and Lighting Limited guarantees	<u>6,650</u>	<u>6,650</u>
28 CAPITAL COMMITMENTS		
Authorised and contracted for	5,516	-
Authorised but not contracted for	<u>28,902</u>	<u>23,188</u>
	<u>34,418</u>	<u>23,188</u>

The company intends to finance these commitments from internally generated funds, asset financing from the bank and loans from related companies.

29 CAPITAL MANAGEMENT

The Company manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Company consists of debt, which includes the borrowings disclosed in note 22, cash and cash equivalents and equity attributable to equity holders, comprising issued capital and revenue reserves.

Consistent with others in the industry, the Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

	2010 Sh000	2009 Sh000
Share capital	19,560	19,560
Revenue reserves	<u>708,239</u>	<u>571,103</u>
Equity	<u>727,799</u>	<u>590,663</u>
Total borrowings	9,383	40,226
Less: cash and cash equivalents	<u>(94,556)</u>	<u>(85,624)</u>
Net cash	<u>(85,173)</u>	<u>(45,398)</u>
Gearing ratio	<u>Nil</u>	<u>Nil</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30 FINANCIAL RISK MANAGEMENT

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has exposure to the following risks due to its use of financial instruments;

- credit risk
- liquidity risk
- market risk

Credit risk

Credit risk arises from cash and cash equivalents, deposits with banks, trade receivables as well as due from related parties. The credit risk on liquid funds and bank balances is limited because the counter parties are banks with high credit ratings assigned by international credit rating agencies. The company management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the board. The utilisation of credit limits is regularly monitored.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

The amount that best represents the company's maximum exposure to credit risk as at 31 March 2010 is made up as follows:

	Fully performing Sh'000	Past due but not impaired Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	346,216	1,756	-	347,972
Due from related parties	3,592	-	-	3,592
Fixed deposits	50,317	-	-	50,317
Bank balances	44,212	-	-	44,212

The amount that best represents the company's maximum exposure to credit risk as at 31 March 2009 is made up as follows:

	Fully performing Sh'000	Past due but not impaired Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	104,040	-	-	104,040
Due from related parties	5,016	-	-	5,016
Bank balances	85,624	-	-	85,624

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue by over 60 days. The receivables are not impaired and continue to be paid. The finance department is actively following these receivables. No collateral is held with respect to the debt.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30 FINANCIAL RISK MANAGEMENT (Continued)

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short, medium and long term funding and liquidity management requirements. The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The following table analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of the financial statement position date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Over 5 years Sh'000	Total Sh'000
At 31 March 2010						
Trade payables	31,679	19,399	-	-	-	51,078
Due to related parties	-	20,038	-	-	-	20,038
Finance lease obligations	404	808	3,637	3,232	-	8,081
Borrowings	92	185	830	886	-	1,993
Total financial liabilities	32,175	40,430	4,467	4,118	-	81,190
At 31 March 2009						
Trade payables	12,190	24,821	-	-	-	37,011
Due to related parties	-	6,690	-	-	-	6,690
Finance lease obligations	817	749	3,371	7,540	-	12,477
Borrowings	2,397	4,795	21,575	5,209	-	33,976
Total financial liabilities	15,404	37,055	24,946	12,749	-	90,154

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30 FINANCIAL RISK MANAGEMENT (Continued)

Market risk

(i) Foreign exchange risk

The company undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the company's foreign currency denominated monetary assets and liabilities at the end of each reporting period as follows:

	USD Sh'000	GBP Sh'000	EURO Sh'000
2010			
Assets			
Bank and cash balances	11,784	11,942	-
Trade receivables	325,947	19,044	-
Liabilities			
Borrowings	7,448	1,935	-
2009			
Assets			
Bank balances	38,023	42,194	-
Trade receivables	66,224	33,487	-
Liabilities			
Borrowings	11,092	2,842	-

Foreign exchange risk – appreciation/depreciation of Ksh against other currencies by 1%.

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the balance sheet date with all other variables held constant.

	2010 Sh'000		2009 Sh'000	
	Effect on Profit	Effect on equity	Effect on profit	Effect on equity
Currency - GB pounds				
+ 1% KSh Movement	756	530	335	235
- 1% KSh Movement	(756)	(530)	(335)	(235)
Currency - US dollars				
+ 1% KSh Movement	3,623	2,536	662	463
- 1% KSh Movement	(3,623)	(2,536)	(662)	(463)

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30 FINANCIAL RISK MANAGEMENT (Continued)

Market risk (Continued)

(ii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The company closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes. The Company's Policy is to borrow in the same currency as the trading currency to minimise interest rate risk exposure. The table below summarises the exposure to interest rate risk at the balance sheet date. Included in the table are the company's financial instruments at carrying amounts, categorized by the earlier of contractual repricing or maturity dates.

Interest rate risks – increase / decrease of 1% in net interest margin

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different at the end of the year with all other variables held constant.

	2010 Sh'000		2009 Sh'000	
	Effect on Profit	Effect on equity	Effect on profit	Effect on equity
+ 1% Movement	409	287	53	36
- 1 % Movement	(409)	(287)	(53)	(36)

31 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act.

32 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).

Appendix 1

KAPCHORUA TEA COMPANY LIMITED

DETAILED STATEMENT OF COMPREHENSIVE INCOME

(Measurement of biological assets and agricultural produce at actual cost for taxation purposes)
FOR THE YEAR ENDED 31 MARCH 2010

	2010 Sh	2009 Sh
GROSS TEA & TIMBER SALES	1,130,107,900	743,078,471
PRODUCTION EXPENDITURE - TEA (Appendix 2)	(887,583,794)	(660,455,492)
- TIMBER	(1,366,814)	(6,752,137)
GROSS PROFIT	241,157,292	75,870,842
OTHER OPERATING INCOME (Appendix 3)	20,040,220	8,844,877
DISTRIBUTION COSTS (Appendix 3)	(80,141,481)	(62,312,458)
ADMINISTRATIVE EXPENSES (Appendix 3)	(2,670,936)	(2,431,855)
FOREIGN EXCHANGE (LOSSES)/GAINS (Appendix 3)	(6,053,453)	15,518
FINANCE INCOME (Appendix 3)	372,672	-
FINANCE COSTS (Appendix 3)	(1,893,610)	(5,257,303)
PROFIT BEFORE TAXATION	170,810,704	14,729,621
Reconciliation of results based on fair valuation of biological assets and agricultural produce to results based on actual cost of biological assets and agricultural produce:		
	2010 Sh'000	2009 Sh'000
PROFIT BEFORE TAX AS ABOVE	170,811	14,730
Fair value adjustment on biological assets	17,420	60,849
Net movement in fair value adjustment of green leaf stocks	11,307	24,156
PROFIT BEFORE TAX AS PER STATEMENT OF COMPREHENSIVE INCOME (PAGE 14)	199,538	99,735

Appendix 2

KAPCHORUA TEA COMPANY LIMITED
DETAILED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2010

	2010 Sh	2009 Sh
TEA PRODUCTION EXPENDITURE		
TEA PRODUCTION		
Plucking	78,924,084	62,246,933
Manufacturing	81,727,603	67,293,164
Fertilisers	13,626,865	13,998,623
Packing	13,181,717	11,871,599
Machinery maintenance	18,900,695	15,415,883
Cultivation	5,489,331	8,822,289
Cesses	6,154,593	3,713,491
Building maintenance	4,307,278	4,596,031
Roads and boundaries	2,017,819	1,888,274
Fuel plantation	365,967	434,297
	224,695,952	190,280,584
GREEN LEAF PURCHASES	567,629,415	346,473,823
OVERHEADS		
Depreciation of property, plant and equipment	27,810,470	26,916,757
Amortisation of leasehold property	665,151	665,151
Central charges	49,865,975	33,480,578
Leasehold land amortisation	24,155	24,155
Garden staff	22,051,954	17,697,739
Estate transport	4,541,518	6,416,979
Labour welfare	23,500,819	36,389,002
Subordinate staff	3,304,024	3,774,652
Insurances	6,117,827	5,355,092
Superintendence	2,227,601	2,149,027
Security	5,275,817	4,455,620
Office running	2,428,902	3,165,236
Donations	1,015,245	1,088,771
Medical charges	2,485,318	3,857,666
Water supply	1,119,481	519,097
General charges	40,957	317,571
Subscriptions	564,434	968,614
Rents and licences	1,580,738	1,479,597
Travelling	159,200	41,690
Service gratuity and other terminal dues	5,481,503	5,643,621
Loss on sale of plant and equipment	(3,039,879)	-
Impairment losses on plant and equipment	4,182,802	-
	161,404,012	154,406,615
Production expenditure	953,729,379	691,161,022
Less: Closing tea stocks	(123,774,311)	(57,628,726)
Add: Opening tea stocks	57,628,726	26,923,196
	887,583,794	660,455,492

Appendix 3

KAPCHORUA TEA COMPANY LIMITED

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 MARCH 2010

	2010 Sh	2009 Sh
OTHER OPERATING INCOME		
Miscellaneous receipts	14,801,680	4,226,241
Managing agents fees	4,982,827	2,461,102
Rent receivable	255,713	242,600
Dividends receivable	-	1,914,934
	<u>20,040,220</u>	<u>8,844,877</u>
DISTRIBUTION COSTS		
Ocean freight and marine insurance	16,880,354	18,483,444
Transport to coast and coast charges	30,715,304	23,617,873
Commission, brokerage and auction charges	-	204,002
Agency fees	32,545,823	20,007,139
	<u>80,141,481</u>	<u>62,312,458</u>
ADMINISTRATION EXPENSES		
Professional fees	1,212,236	1,090,655
Auditors' remuneration	1,102,500	985,000
Directors' fees and expenses	356,200	356,200
	<u>2,670,936</u>	<u>2,431,855</u>
FOREIGN EXCHANGE (LOSSES)/GAINS		
Net foreign exchange (losses)/gains	<u>(6,053,453)</u>	<u>15,518</u>
FINANCE INCOME		
Interest receivable	<u>372,672</u>	<u>-</u>
FINANCE COSTS		
Interest on bank overdrafts	514,461	1,716,536
Interest on loans	1,379,149	3,540,767
	<u>1,893,610</u>	<u>5,257,303</u>